

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., ET AL.,

Respondents.

FMC Docket No. 20-14

**BRIEF OF AMICUS CURIAE AMERICAN COTTON SHIPPERS ASSOCIATION IN
SUPPORT OF COMPLAINANT**

Pursuant to 46 C.F.R. § 502.73 and to the February 6, 2023, Summary Decision (“Summary Decision”) of Chief Administrative Law Judge Erin Wirth of the Federal Maritime Commission (“FMC” or “Commission”), the American Cotton Shippers Association (“ACSA”), hereby submits its *amicus curiae* brief in support of the April 5, 2023, brief of Complainants.

For the reasons set forth below, ACSA supports the Summary Decision’s finding that practices of Respondent ocean carriers and their designated Intermodal Equipment Providers (IEPs) violated the Shipping Act of 1984, as amended, in several key respects and urged the Commission to uphold the Summary Decision.

I. Introduction and Summary of Argument

Founded in 1924, and based in Memphis, Tennessee, ACSA is the leading trade association representing the U.S. cotton merchandising industry. ACSA member firms handle over 70% of the U.S. cotton sold in domestic and foreign markets and over 60% of the traded foreign cotton growths in the world. ACSA takes an active role in promoting the increased use

of cotton in the U.S. and throughout the world, establishing with other cotton trade organizations national and international standards for trade, collaborating with producer organizations throughout the cotton belt in formulating farm programs, and cooperating with government agencies in the administration of such programs. In addition to helping their customers manage risks from price, location, quality, capacity, cash flow, and currency value, ACSA members purchase cotton from producers and sell to consumers all over the world and bear the responsibilities of managing supply chain logistics to fulfill their contractual obligations of timely and proper delivery to its destination, throughout the globe.

Approximately 70% of the U.S. raw cotton crop is exported, which means the maintenance of intermodal supply chain velocity and integrity is crucial to the viability of the U.S. cotton merchandiser sector and, more generally, to the stability of the U.S. cotton industry. In any given year, ACSA members may collectively ship greater than 150,000 forty-foot containerized loads of cotton, depending on the U.S. crop size. Thus, timely and cost-effective access to export markets via ocean carriers is crucial to the viability of U.S. cotton merchandisers.

Agreements between ocean carriers and IEPs to withdraw from interoperable pools have had the effect of limiting choice in chassis provisioning for U.S. cotton exporters, thereby causing delays in the movement of cotton, creating avoidably inefficiencies, imposing needless costs, and ultimately undermining the competitiveness of U.S. cotton shipments in the global marketplace.

II. Ocean Carrier Practices to Limit Interoperability Hurt U.S. Cotton Exporters

A primary service of ACSA member firms are risk management and delivery logistics. Generally, nearly all of the U.S. cotton sold into the export market is containerized, requiring

intermodal transit from the interior. Any disruptions in the timely and cost-effective availability of chassis will mean higher carrying costs, including storage, interest, insurance, demurrage, detention, and additional interior and ocean freight costs associated with destination displacement. In turn, delayed arrival of cotton sold for forward delivery can afford the counterparty to opt out of higher priced contracts, which means further losses for U.S. cotton merchants.

Unfortunately, the current “box rules” contracting model between ocean carriers and IEPs greatly inhibits the ability of U.S. cotton shippers to access chassis equipment. Because of the “box rules,” U.S. cotton exporters have neither the choice of selecting between commercial equipment providers nor of employing their own equipment to move their cargo. In effect, this gives ocean carriers an effective veto power over the ability of U.S. cotton shippers, including through motor carriers, to use competing chassis at a lower price and for more timely delivery.

The resulting chassis shortages cause grounding and stacking at the delivery ramps, creating congestion and exacerbating problems of equipment accessibility. In the meantime, related fees and costs – such as from detention, demurrage and rail storage – can continue to mount. These costs become the responsibility of the U.S. cotton shipper, even though the delays due to lack of available chassis are beyond their control.

These delays and their results costs are unnecessary and avoidable. More importantly, the practices by which ocean carriers impose their control over chassis provisioning, and that cause these delays and costs, are fundamentally unjust and unreasonable, and stand in direct contravention of the spirit of the Shipping Act.

III. Conclusion

In light of the foregoing, ACSA respectfully urges the Commission to uphold the Summary Decision.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that, on April 12, 2023, a true and current copy of the foregoing Brief Amicus Curiae of the American Cotton Shippers Association was filed electronically with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel for Complainant and counsel for the Respondents:

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